CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E3C281A2C
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

From: Christopher F Calger <christopher.calger@enron.com>
Sent: Tue, 20 Mar 2001 23:59:00 -0800 (PST)
To: Christian Yoder <christian.yoder@enron.com>
Cc: Elizabeth Sager <elizabeth.sager@enron.com>, Tracy Ngo <tracy.ngo@enron.com>, Jeff Dasovich <jeff.dasovich@enron.com>
Subject: DWR rate component at the CPUC

Christian,

Can we get Pat / John to review this this morning. I think it is very bullish for DWR, but I would appreciate his review in the event we want to comment - comments are due this afternoon.

Thanks,

Chris
---------- Forwarded by Christopher F Calger/PDX/ECT on 03/21/2001 08:00 AM ----------
From: Jeff Dasovich@ENRON on 03/20/2001 07:33 PM CST
Sent by: Jeff Dasovich@ENRON
To: Christopher F Calger/PDX/ECT@ECT
cc:
Subject: DWR rate component at the CPUC

Some more info on the issue from Jeanne.
----- Forwarded by Jeff Dasovich/NA/Enron on 03/20/2001 07:33 PM -----

Susan J Mara
03/20/2001 06:52 PM

To: Michael Tribolet/ENRON@enronXgate, Janel Guerrero/Corp/Enron@Enron, Harry Kingerski/NA/Enron@Enron, Gordon Savage/HOU/EES@EES, Scott Stoness/HOU/EES@EES, Tamara Johnson/HOU/EES@EES, James D Steffes/NA/Enron@Enron, Richard Shapiro/NA/Enron@Enron
cc: Jeff Dasovich/NA/Enron@Enron
Subject: FW: A.00-11-038 et al. ruling of 3/19/2001

Sue Mara
Enron Corp.
Tel: (415) 782-7802
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----- Forwarded by Susan J Mara/NA/Enron on 03/20/2001 04:51 PM -----

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ENRON-886764268271

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JBennett <JBennett@GMSSR.com>
03/20/2001 04:45 PM

To: "Bob Frank (E-mail)" <robert.frank@enron.com>, "Christian Yoder (E-mail)" <christian.yoder@enron.com>, "Harry Kingerski (E-mail)" <Harry.Kingerski@enron.com>, "Jeff Dasovich (Business Fax)" <IMCEAFAX-Jeff+20Dasovich+40+2B1+20+28415+29+20782-7854@GMSSR.com>, "Sue Mara (E-mail)" <smara@enron.com>, "Tamara Johnson (E-mail)" <tjohnso8@enron.com>
cc: "'acomnes@enron.com'" <acomnes@enron.com>
Subject: FW: A.00-11-038 et al. ruling of 3/19/2001

Attached is a ruling by ALJ DeUlloa issued yesterday pertaining to the calculation of the California Procurement Adjustment. A draft decision was suppose to be release on such on Friday, March 16th. It was not, and now we know why. On March 14th, the Department of Water Resources wrote to the [REDACTED] B5
calculated. In his ruling of yesterday DeUlloa stated that he would wait to issue the PD so as to take into account DWR's submission. He also provided parties until tomorrow to file comments on the DWR letter (which is attached to the ruling).

Not surprising, DWR has a different view of the world than the UDCs do when it comes to calculating the CPA. The UDCs view the CPA as residual amount left over from the generation component of their bundled rate on 1/5/01 after the cost of their retained generation (including QFs and bilateral contracts) are subtracted out. DWR views the CPA as a rate (i.e., a cent per kWh) which would be paid to DWR by the UDCs every month. It is DWR's view that a Total Generation Related Rate must be calculated which is a blended average of the cost of the UDC retained generation and the cost of the "net short" power. From this total rate (e.g.., 5 cent) the cost of the UDC retained generation (e.g., 2 cent) would be subtracted and the remainder [REDACTED] B6

Water Resources Set-Aside. DWR is not asking that such allocation be done now.

DWR's view of the world would place it in a sounder financial position, making it a more viable purchaser of electricity for California, but would place the UDCs in more dire straights.

Please let me know by tomorrow at noon if you want to comment on the DWR proposal.

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Jeanne Bennett

> -----Original Message-----
> <<CPUC01-#93188-v1-A0011038_et_al__DeUlloa_Ruling_.doc>>

- CPUC01-#93188-v1-A0011038_et_al__DeUlloa_Ruling_.doc

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